

habits, and how much you stand to gain by taking control of your financial wellbeing and creating lasting habits and rituals. It will really help later in this step, when you start to build a budget that's tailor-made for you.

The role of your budget in your wider financial wellbeing practice is, quite simply, to present you with the information that you need to set your priorities and make informed choices. For most of us, it's not possible to have it all, all at once, so we need to learn to make smart choices according to what we want and need, and what we can afford – and this is what your budget will tell you.

Making a budget that works for you

Once you have a clear view of all of the information that you need, it's time to build a budget that you can actually stick to – one that you won't avoid looking at after a couple of weeks because you can't remember how it works or you feel guilty after overspending. Your budget is the red thread running through all of your finances; the sourcebook for all of your decision-making when it comes to money. Sympathetically created and properly maintained, it can be your best friend, rather than an arduous chore or a stick to beat yourself with.

A simple budget is really just a balance sheet of your income vs your outgoings, and most are split by month, because